

**IN THE COURT OF THE XI METROPOLITAN MAGISTRATE
ESPLANADE, MUMBAI
C.C. NO. 1847/SS/2026**

AFFIDAVIT IN DEFENCE

I, Devraj Malkani, do hereby solemnly affirm and state as follows:

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1. I am the Accused above named and am conversant with the facts of the case.
2. I admit that I approached the Complainant in or about August 2024 and received a sum of Rs. 36,00,000 from him, and that a Loan Agreement cum Promissory Note dated 10.08.2024 was executed between us.
3. I admit having paid a sum of Rs. 1,08,000 to the Complainant on 10.11.2024, though I deny that the said payment is referable to any admitted or ascertained rate of interest.
4. I admit signing and handing over Cheque No. 004821 dated 05.09.2025 to the Complainant, but state that it was given as collateral security for a proposed business transaction between us that did not materialise, and not towards any subsisting, legally enforceable debt.
5. I state that I had signed the said cheque in blank and handed it to the Complainant purely as a matter of trust, and that the particulars, including the amount in words, were not filled in by me.
6. I state that the interest computation appearing in the Complainant's ledger, which records interest received on an 18% per annum basis against the agreed rate of 15% per annum recorded in the Loan Agreement itself, demonstrates the unreliability of the Complainant's own records and supports my defence that no ascertained, enforceable debt existed as on the date of the cheque.
7. I state that I did not reply to the statutory notice dated 22.09.2025 as, on legal advice, I was of the view that no enforceable debt subsisted in respect of which the notice could validly be issued.
8. I deny that the presumption under Sections 118 and 139 of the Negotiable Instruments Act, 1881 assists the Complainant on the facts of this case, and state that the said presumption stands rebutted by the discrepancies referred to above and by my testimony.
9. I deny liability under Section 138 of the Negotiable Instruments Act, 1881 and pray for acquittal.

VERIFICATION

The contents of this affidavit are true to my knowledge.

Verified at Mumbai on this the 25th day of March, 2026.

DEPONENT